25SMCP00513 25SMCP00513

County: los-angeles

Division: Civil Law and Motion

Department: 207

Hearing date: 2026-06-30

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=BH%20%2C207%2C06%2F30%2F2026

Source SHA-256: 58f9290dd0cb2810ffc6800ccfd09c3c1d630ccb32a4181b588661db6a38344e

Case Number: 25SMCP00513 Hearing Date: June 30, 2026 Dept: 207

TENTATIVE RULING

DEPARTMENT 207

HEARING
DATE June 30, 2026

CASE
NUMBER 25SMCP00513

MOTION Amend Judgment

MOVING
PARTY Petitioner Ami Shah

OPPOSING
PARTY Respondent Debora A. Gregory

MOTION

This case arises from a petition to confirm an arbitration award.

On September 30, 2025, Petitioner Ami Shah as assignee of Assure Home Therapy's claims ("Petitioner") filed the case-initiating Petition to Confirm Arbitration Award against Respondent Debra Gregory (Caring Like Family Inc. DBA: Like Family Home Health).

On April 8, 2026, the Court granted the petition in part as to Caring

Like Family Inc. ("Caring"), but denied the petition as to Caring's principal, Debora Gregory ("Gregory") on the grounds that Gregory was not a respondent in the underlying arbitration and the arbitration award was only against Caring. Thereafter, the Court entered the Judgment on April 8, 2026 in conformity with its ruling.

Petitioner now moves to amend the judgment pursuant to Code of Civil Procedure section 187 on the ground that Gregory is an alter ego of Caring. Gregory opposes the motion.

EVIDENTIARY OBJECTIONS

The Court rules as follows with respect to Gregory's evidentiary objections:

1. Sustained

2. Sustained

3. Overruled as to "The fact that the entity was already suspended when the contract was signed on 8/19/2024"; Sustained otherwise.

4. Overruled as to "Debora Gregory executed the contract on 8/19/24 with Petitioner after the corporation had already been suspended by the Franchise Tax Board." Sustained otherwise. Overruled otherwise.

5. Overruled

6. Overruled – the foundation for this statement is laid in the attached exhibits, to which Gregory has not objected.

7. Sustained

8.
Sustained

9.
Sustained

10. Overruled

11. Overruled

12. Sustained

13. Sustained

14. Sustained

15. Sustained

16. Sustained

ANALYSIS

Code of Civil Procedure section 187 provides: “When jurisdiction is, by the Constitution or this Code, or by any other statute, conferred on a Court or judicial officer, all the means necessary to carry it into effect are also given; and in the exercise of this jurisdiction, if the course of proceeding be not specifically pointed out by this Code or the statute, any suitable process or mode of proceeding may be adopted which may appear most conformable to the spirit of this Code.”

“Code of Civil Procedure section 187 authorizes a trial court to amend a judgment to add a judgment debtor who is found to be an alter ego of a corporate defendant.” (Misik v. D'Arco (2011) 197 Cal.App.4th 1065, 1069.) “[A] plaintiff's failure to allege the alter ego doctrine in the underlying lawsuit does not preclude a motion to amend the judgment.” (Ibid.)

To establish alter ego liability, Plaintiff must show (1) such a unity of interest and ownership between the corporations that no separation actually exists, and (2) an inequitable result if the acts in question are treated as

those of the corporation alone. (Leek
v. Cooper (2011) 194 Cal.App.4th 399, 417.)
Several factors are considered in determining whether the alter ego doctrine applies, including:

(1)
commingling of funds and other assets, failure to segregate funds of the separate entities, and the unauthorized diversion of corporate funds or assets to other than corporate uses;

(2)
the treatment by an individual of the assets of the corporation as his own;

(3)
the failure to obtain authority to issue stock or to subscribe to or issue the same;

(4)
the holding out by an individual that he is personally liable for the debts of the corporation;

(5)
the failure to maintain minutes or adequate corporate records;

(6)
sole ownership of all of the stock in a corporation by one individual or the members of a family;

(7)
the failure to adequately capitalize a corporation;

(8)
the total absence of corporate assets, and undercapitalization;

(9)
the use of a corporation as a mere shell, instrumentality or conduit for a single venture or the business of an

individual or another corporation;

(10)
the concealment and misrepresentation of the identity of the responsible ownership, management and financial interest, or concealment of personal business activities;

(11)
the disregard of legal formalities and the failure to maintain arm's length relationships among related entities;

(12)
the use of the corporate entity to procure labor, services or merchandise for another person or entity;

(13)
the diversion of assets from a corporation by or to a stockholder or other person or entity, to the detriment of creditors, or the manipulation of assets and liabilities between entities so as to concentrate the assets in one and the liabilities in another;

(14)
the contracting with another with intent to avoid performance by use of a corporate entity as a shield against personal liability, or the use of a corporation as a subterfuge of illegal transactions; and

(15)
the formation and use of a corporation to transfer to it the existing liability of another person or entity.

(Id. at pp. 417–418.)

In support of the motion, Petitioner advances the Declaration of Ami Shah, which as demonstrated by the Court’s evidentiary rulings above, primarily contains inadmissible legal arguments and statements which lack foundation.

The gist of Petitioner’s argument for which Petitioner has laid an adequate foundation is that Gregory is the sole shareholder, officer, and agent for service of process for Caring, which Gregory runs out of her personal residence, and Caring was suspended by the Franchise Tax Board as of April 2, 2024. Thus, on August 19, 2024 when Petitioner and Caring entered into the underlying agreement at the heart of their arbitration dispute, and Caring became indebted to Petitioner for approximately $50,000, Caring was already suspended and disqualified from operating as a legal entity. As such, Petitioner argues, Caring was effectively a sole proprietorship at the time the agreement was made.

But, at best, Petitioner has demonstrated (1) sole ownership and (2) failure to adequately capitalize the corporation.

The Court does not find the fact that Gregory ran the business out of her personal residence alone sufficient to demonstrate improper comingling; the treatment by Gregory of Caring as though its assets were her own personal assets; lack of corporate formalities; or that Gregory used Caring to procure goods or services for another person or entity.

To wit, in opposition, Gregory provides a declaration clarifying that she maintains her own separate bank account, segregated from the bank account for Caring; she has not used Caring's funds for her own purposes; and the parties' agreement was for Petitioner to provide physical and occupational therapy services to Caring's patients. (Gregory Decl. ¶¶ 4, 11.) There is no evidence that Petitioner performed services for Gregory personally.

Further, the fact that Petitioner personally viewed the Caring's records in Gregory's home demonstrates that corporate records were being maintained. (See also Gregory Decl. ¶ 9 [Caring "has followed corporate formalities"].) And the fact that Gregory's name is all over the officially filed corporate records demonstrates Gregory did not conceal or misrepresent her identity as the company's owner.

Petitioner's attempt to use the alter ego doctrine to bring Gregory into the litigation in her personal capacity further demonstrates that Gregory did not personally guaranty the debts of the corporation. (See also Gregory Decl. ¶ 4 ["I did not personally guarantee the obligations of CLFI under the Agreement"].)

Although Petitioner characterizes Caring as a mere shell or instrumentality, that Caring was created as a shield to avoid performance and liability, or that Caring was created to transfer Gregory's liability, Petitioner has not presented sufficient, competent evidence supporting those arguments.

The mere fact that Caring was solely owned by Gregory and ultimately became unprofitable to the point where it could not satisfy its debts does not, without more, demonstrate that Caring and Gregory are alter egos of each other.

CONCLUSION

The Court denies Petitioner's motion to amend the judgment to add Gregory in her personal capacity as an alter ego for Caring.

Petitioner shall provide notice of the Court's ruling and file the notice with a proof of service forthwith

DATED:

June 30, 2026 _______/s/____________________

Michael E. Whitaker

Judge

of the Superior Court